

What Do Magazine Covers Tell Us?

A 2017 *BARRON'S* COVER story⁹⁹ featured Apple's extravagant new \$5 billion HQ. The headline: "Apple to Hit \$1 Trillion in Market Value in 2018." The knee-jerk response from too many traders was: "That's it, Apple is over," and "Sell!"

Whether through insight or luck, *Barron's* had it right, and by August 2018 Apple crossed the trillion-dollar mark. Five years later, Apple had tripled its market valuation to \$3 trillion.

Perhaps those traders learned the wrong lessons from those prior cover stories. You cannot assume every magazine cover is a reliable contrary indicator. I cherry-picked all of the most egregious ones in prior chapters as examples.

Let's delve into the work of Paul Macrae Montgomery. He created the magazine cover indicator, observing that some investment trends reach their crescendos on the covers of print magazines.¹⁰⁰

Montgomery had three rules for the classic cover indicator:

1. It must be a mainstream publication, not a business/financial periodical;
2. It should be on a popular investing fad;
3. A significant run-up in asset price must have led up to the cover.